

FORTNIGHTLY TRADING PERFORMANCE REPORT

Analysis Period: August 17-27, 2026 (2 weeks, 4 sessions traded of 9)
Report Generated: August 28, 2026
Trader: James
Accounts: LIVE options (Schwab). No shadow trades. No futures trades.
Strategies: SPX Bull Put Spreads — all seven trades
Market: Regime turn then partial recovery. Trump rejected extending the Iran ceasefire and threatened Oman; SPX fell to 7,691.76 on 8/27.
Themes: (1) A known rule breach and the exit that contained it. (2) Action bias as the fortnight's through-line. (3) A proposed fix that was not implemented.

EXECUTIVE SUMMARY

Overall Performance: −\$1,805 gross across 7 trades (5 wins, 1 loss, 1 scratch), −\$1,945.76 net of \$140.76 in costs.

Excluding the single rule-breach trade, the fortnight was +\$1,195 with no losses at all. Live options cumulative falls to +\$2,145 across 78 trades.

One trade produced the entire drawdown. Trade 227 was a deliberate overnight hold against the no-overnight rule — taken, in your own words, because “no premium existed on Monday's 0DTE” and you went looking for a trade in Tuesday's expiry instead. The market gapped through the short leg on the Iran ceasefire rejection. −\$3,000.

The more useful reading is that **this fortnight has one cause, not several.** The overnight hold, the early exit on trade 233, and arguably the stacked entries on 230 are all the same failure: wanting a trade, or wanting the next trade, more than the plan allowed. Action bias is the through-line. What is new — and it matters more than the loss — is that the exit machinery now contains it. The bounce-exit on 227 saved \$6,600.

Key Findings:

- ★ **TRADE 227:** known rule breach, −\$3,000. Same failure mode as trade 99 (−\$138,750) — a gap through the short leg with no stop able to fire. **46× smaller outcome**, because the bounce-exit discipline now exists. The exit saved \$6,600 against expiry at full width.
- ★ **THE RECOVERY WAS TEXTBOOK:** 19 Aug skipped entirely, then trade 228 on the 20th at standard size, standard structure, OCO, 85% capture. No revenge, no tinkering, no size change. **This is the win/wipeout/tinker cycle not engaging.**
- ★ **SECOND DOUBLE FILL (230):** identical mechanism to 221/222. R25 was drafted after that pair and not adopted; it recurred within ten days. ~\$19.3k combined width (~38% of net liq) for 10 minutes. Scratched flat this time — the handling was right, the cause is still unfixed.
- Selectivity was real: 4 sessions traded out of 9. The 19th skipped after the loss, the 24th skipped on Iran sanctions and tariff worries. Abstention is now a deliberate act rather than an absence.
- New technique — reversal-timed entries (232, 233): limits placed at the anticipated turn, both filled and reverted immediately. Your own caveat is the correct one: n=2 is an anecdote, not an edge.
- Seventeen consecutive bull put spreads (217–233). The last bear call was trade 214 on 27 July — 31 days. The one large loss came from a downside gap.

P&L; SUMMARY

Book	Trades	W	L	BE	P&L
Clean system	6	5	0	1	+\$1,195
Rule breach (227)	1	0	1	0	−\$3,000
Gross total	7	5	1	1	−\$1,805
Less: fees & commissions	—	—	—	—	−\$140.76
NET TOTAL	7	5	1	1	−\$1,945.76

The clean system did not have a losing trade in this fortnight. Five wins and one scratch across six trades, +\$1,195, in a period that included a regime turn, a three-day selloff and two-decade-high bond yields. The drawdown is entirely attributable to one decision taken against a rule you had already written.

CUMULATIVE TRACKING

Period	Trades	Win %	P&L (gross)	Cumulative
Study Period (Jun 29–Aug 4)	14	85.7%	+\$2,370	+\$1,675
Aug 5–7	4	100%	+\$1,075	+\$2,750
Aug 10–14	6	83.3%	+\$1,200	+\$3,950
Aug 17–27 (this report)	7	71.4%	–\$1,805	+\$2,145

78 live options trades since inception. Futures book unchanged at –\$215 across 15 trades — no futures activity this fortnight.

TRADES

#	Date	Strikes	Cts	Entry	Exit	P&L	Cap.	Notes
227	17–18/08	7715/7695	5	\$0.80	\$6.80	–\$3,000	—	ERROR: deliberate overnight hold. Gapped through.
228	20/08	7635/7615	5	\$0.65	\$0.10	+\$275	85%	First trade back. Standard size, OCO.
229	25/08	7630/7610	5	\$0.65	\$0.01	+\$320	98%	Partial fill; 4 lots expired worthless.
230	27/08	7640/7620	5	\$0.70	\$0.70	\$0	—	Double fill. Scratched flat to restore size.
231	27/08	7640/7620	5	\$0.65	\$0.10	+\$275	85%	The kept half. ~2 hours.
232	27/08	7675/7655	5	\$0.65	\$0.30	+\$175	54%	Reversal-timed entry. Reverted in seconds.
233	27/08	7680/7660	2	\$1.15	\$0.40	+\$150	65%	Reversal-timed, rich credit. Exited early.

All seven P&L; figures verified against $(\text{entry} - \text{exit}) \times \text{contracts} \times 100$.

TRADE 227: THE BREACH, AND WHAT CONTAINED IT

Monday 17 August offered no premium on the 0DTE expiry. Rather than not trade, you went to Tuesday's expiry an hour before the close — a 1DTE bull put spread roughly 2SD [standard deviation] from price. The rationalisation, recorded in your own journal: "it's basically only a day's worth of trading, one extra hour of risk." That framing counted the trading hours and omitted the overnight ones entirely.

	Value
Position	SPX 7715/7695 bull put spread, 5 contracts, 1DTE
Entry	\$0.80 credit, ~1 hour before Monday's close
Overnight event	Trump rejected extending the 60-day Iran ceasefire; threatened Oman over the Strait of Hormuz. Futures gapped down.
Tuesday	Semis –5%, 30-year yields highest since 2007, Brent ~\$91. SPX closed 7,691.76 (–0.69%) — below both legs.
Exit	\$6.80, two minutes into the bounce at the open
Loss taken	$(6.80 - 0.80) \times 5 \times 100 = -\$3,000$
If held to expiry	Settled at full width ~\$20.00 $\rightarrow (20.00 - 0.80) \times 5 \times 100 = -\$9,600$
Saved by the exit	$(20.00 - 6.80) \times 5 \times 100 = \$6,600$

Why no stop could help:

A stop is an instruction to transact at a price. It requires a market to transact in. Between Monday's close and Tuesday's open there was none, and the underlying moved through both legs of the spread in that window. This is gap risk [jump risk] — the one exposure the stop architecture cannot touch, and precisely the reason the no-overnight rule was written after the SPY 658/660 disaster on paper account 2.

The comparison worth sitting with:

	Trade 99 (Apr, paper)	Trade 227 (Aug, live)
Failure mode	Held 0DTE through a known binary; gapped	Held 1DTE overnight; gapped
Stop able to fire?	No — illiquid close	No — closed market
Exit taken	None. Full max loss.	Bounce-exit, 2 min into the open
Loss	–\$138,750	–\$3,000
Ratio		46× smaller

Same failure at the gate. Completely different failure at the exit — which is to say, no failure at the exit at all. The bounce came two minutes into the session, you took it without hesitation, and the spread never traded near \$6.80 again for the rest of the day. R12 (Bounce = Exit) has now fired correctly on live money under genuine pressure for the third reporting period running.

The behavioural pattern that destroyed two accounts is, on this evidence, beaten. The entry gate is where the remaining work is.

Your own summary is the right one and worth keeping: *"I'd rather a perfect trade went bad than one with a clear rule breach."*

Note that the entry analysis here was sound — 2SD out, correct structure, correct credit. The error was purely the decision to carry it through the gap window. A good trade in a forbidden slot is still a forbidden trade.

THE THROUGH-LINE: ACTION BIAS

Three separate entries in this fortnight trace to the same root, and it is worth naming because the three look unrelated in the P&L; column.

Trade	What happened	The underlying pull
227	No valid ODTE setup existed, so went hunting in the next expiry and accepted overnight risk to get a position on.	Wanting a trade when none was available [action bias; narrow framing of the risk window]
230	Stacked alternative entry orders left unlinked, both filled, doubling intended size.	Wanting more ways in than the plan needed
233	Closed at \$0.40 rather than the pre-agreed level, because of eagerness to re-enter. Premium had evaporated; no re-entry followed.	Wanting the next trade more than this trade's plan [action bias reaching the exit side]

Trade 233 is the subtlest and the most interesting. Action bias has previously shown up only at entry. Here it reached the exit — a position was closed early not because of anything the position was doing, but because of a trade that did not yet exist and, as it turned out, never did. The cost was small and double: the difference between \$0.40 and the planned exit, plus the re-entry that the evaporated premium then denied. You flagged it yourself, which is why it is in this report rather than buried.

The structural observation: the framework has hard rules covering the exit side (R1, R2, R4, R12, R20) and it has hard rules covering what may be entered (R18, R19, R21, R23). It has almost nothing covering *whether to enter at all* when no valid setup exists. G1's cooling-off is the closest thing, and it only triggers after a stop-out. The state that produced trade 227 — a flat book, a live session, and no qualifying setup — currently has no rule attached to it at all. On this fortnight's evidence that is the single largest remaining gap in the framework.

THE RECOVERY: WHAT DIDN'T HAPPEN

After the loss on the 18th you skipped the 19th entirely. Trade 228 on the 20th was a standard ODTE bull put spread: same 5 lots, same structure, floor-adjacent credit, OCO exit, 85% capture in about four and a half hours.

Nothing happened. No size increase to win it back, no strike adjustment, no new structure, no extra trade to make the week whole. Given the documented history — the win/wipeout/tinker/repeat cycle that ended accounts 1 and 2 — a boring, on-schedule, standard-size trade three days after a −\$3,000 rule-breach loss is a more meaningful result than the +\$275 it produced.

The same pattern held across the fortnight: **4 sessions traded out of 9**. The 19th skipped after the loss; the 24th skipped as the market slid on Iran sanctions and US–Canada tariff worries. Abstention has become a decision rather than an absence — which makes trade 227's origin (“no premium existed, so I went looking”) the outlier rather than the norm.

THE SECOND DOUBLE FILL

Trade 230 was the same mechanism as trades 221/222, ten days later: stacked entry orders intended as alternatives, not OCO-linked, two filling together at 09:31 ET. Combined 10 lots, ~\$19,325 of width, approximately 38% of net liquidation value, held for around 10 minutes before you scratched one leg flat at \$0.70 to restore standard size.

The handling was right and the cause is unchanged. R25 was drafted in the 10–14 August report specifically for this — *staged alternative entries must be linked so the first fill cancels the remainder* — and was not adopted. The gap between diagnosis and implementation is where this recurred.

Both occurrences resolved profitably or flat, which is exactly what makes it easy to leave. The exposure taken was ~37–38% of net liq on both occasions, against a 20% working ceiling, and on both occasions the correlation between the two fills was near-total — adjacent or identical strikes, same expiry, same direction. **The order plumbing is a five-minute fix carrying a two-times-realised risk of roughly double intended size.** It is the most straightforward item in this report.

27 AUGUST: THE RARE DAY

Four trades ran on the 27th under a declared premium-cycling day plan. Only two overlapped: trade 232 (5 lots) and trade 233 (2 lots), seven contracts in total.

	232	233	Combined
Strikes	7675/7655	7680/7660	spans 7680–7655
Contracts	5	2	7
Credit	\$0.65	\$1.15	—
Max risk	\$9,675	\$3,770	\$13,445
% of net liq (~\$50,900)	19%	7%	26.4%

R14 passes. Two concurrent correlated positions on the same expiry is at the limit, not over it. **R6 is modestly over** — 26.4% against a 20% working ceiling, arising from a 2-lot addition rather than from any large sizing decision. Against the working conviction maximum of 6 contracts, seven is one over, which you flagged yourself.

Worth noting only because it affects how the aggregate should be read: the two positions share the 7675–7660 band, so they do not behave as two independent trades. A move to 7660 pressures both. The honest framing is a single ~7-lot position spanning 7680/7655 — which is how a book-level cap should count it, and at that size it is a small overage rather than a structural problem.

THE CONDITION THAT MADE THE DAY WORTH SIZING INTO

The more important content on the 27th is the setup itself, which you identified correctly in the journal at the time: *“resolved catalyst behind (NVDA), unresolved binary ahead (Jackson Hole) = rally tape with event premium still bid.”*

This is the answer to the premium compression problem raised two reports ago. Put premium and bullish tape are normally inversely related: rich put premium means fear, which means a nervous or falling market; a confident bull tape means complacency, which means thin put premium. That inverse relationship is exactly why the strategy's unit economics are worst in the calm, grinding markets where its win rate is best — trade 225 sitting at the \$0.60 floor on 13 August being the illustration.

The 27th broke the relationship, and it broke it for an identifiable structural reason: **two catalysts running on different clocks.** A large event resolved bullishly in the morning (Nvidia +8.6%, revenue guided +70%, SPX +0.7% to 7,731, Salesforce +20%), giving directional confidence. A separate binary remained unresolved ahead (Jackson Hole, with the Warsh speech due Friday), keeping implied volatility bid. Directional conviction and elevated premium at the same time — which is not normally on offer.

Why this matters beyond one session:

- It is identifiable **in advance** from the catalyst calendar already maintained for the IV crush work — look for a week containing a major earnings or event resolving early, with a macro binary landing later in the same week.
- It gives G2 (conviction-to-size mapping) something it currently lacks: a **trigger with a mechanism behind it**, rather than a subjective conviction score. “Resolved catalyst behind, unresolved binary ahead, tape aligned” is testable and calendar-visible.
- It reframes the sizing question. If these conditions are rare and identifiable, the right response is to size up **deliberately and within the cap** on those days, and trade smaller or not at all on the compressed-premium days — rather than sizing drifting upward via incremental additions.

Your instinct on the day — recorded as “sweeping money off the floor” — was reading a real condition, not imagining one. The caution attached to that phrase is simply that the feeling of free money is the same feeling whether the condition is genuinely rare or merely appears so. Which is the argument for defining the condition on the calendar in advance, where it can be checked, rather than recognising it in the moment. On this occasion the discipline held regardless: both positions were closed early, in a controlled and planned manner, on a day that would have tempted holding for more.

NEW TECHNIQUE: REVERSAL-TIMED ENTRIES

Trades 232 and 233 used a technique not previously in the log: with an intraday correction underway, limit orders were placed at the level where the reversal was anticipated [fading the move / mean-reversion entry]. Both filled at elevated premium and

both reverted almost immediately — 232 collapsed toward \$0.30 within seconds, 233 to \$0.40 within minutes.

Mechanically this is a close relative of the patient gamma-spike entry from trade 197: let the market come to your price rather than chasing, and enter when premium is temporarily elevated and likely to revert. The difference is that this version requires a directional call on *where* the turn happens, not merely a willingness to wait.

Your caveat is the correct one and should stay attached: “one clean call is no defence — n=2 anecdote, not edge.” Two successful reversal calls in a single session, on a day you yourself flagged as a rare tape (bull rally with rich put premium), is the weakest possible sample. Tag them, accumulate, and treat the technique as unproven until there are enough instances to separate skill from a favourable afternoon. Under R13, a new technique trades at 50% size until 10+ instances are logged — trade 233's 2 lots was consistent with that; 232's 5 lots was not.

JOURNAL TAGGING — A DATA HYGIENE NOTE

Trades 229, 230 and 231 carry Mistakes entries reading “*NONE — rule breach. First-hour entry*” and “*NONE — process gap*”. The journal's convention is binary: **NONE — clean execution**, or **ERROR — [description]**. “NONE — rule breach” is a third state that the filtering cannot resolve, and this column is what drives the clean-versus-error segmentation on the site.

Under G3 as strengthened this week, a first-hour entry is either an Exceptional State Entry — with State A or State B verified and logged *before* the entry — or it is a breach. None of the three records a pre-entry state verification. On the 27th the tape was strongly bullish (Nvidia +8.6%, SPX +0.7%), so State A may well have applied; but the rule as written requires it to be recorded beforehand, precisely because everything looks justified afterwards.

Two options, both fine: log the State A/B check at entry and tag these NONE — clean; or accept them as breaches and tag ERROR. What does not work is a category that means neither.

FRAMEWORK COMPLIANCE

Rule	Status	Notes
No-overnight rule	BREACHED	Trade 227. Deliberate, acknowledged in advance. −\$3,000; exit contained it to 31% of max loss.
R12: Bounce = Exit	PASS ✓	Trade 227. Fired two minutes into the open. Saved \$6,600. Third consecutive period firing correctly under pressure.
R6: 20% BP reserve	BREACHED	Trade 230 double fill (~38%). Also 26.4% on the 232/233 overlap — modest, from a 2-lot add.
R14: Max 2 correlated, same expiry	PASS	Two concurrent on the 27th (232 + 233). At the limit, not over.
Conviction size max (6 lots)	1 OVER	Seven contracts concurrent on the 27th. Self-flagged.
R13: New technique at 50% size	PARTIAL	Reversal entries: 233 at 2 lots consistent; 232 at 5 lots was full size.
R21: Min credit floor \$0.60	PASS	All seven at \$0.65–\$1.15.
R25 (candidate)	NOT ADOPTED	Drafted after 221/222; recurrence at trade 230 is the direct consequence.
G3: First-hour entries	UNVERIFIED	229, 230, 231 in the first hour. No pre-entry State A/B verification logged.
G1: Post-loss cooling-off	EXCEEDED ✓	Skipped the 19th entirely. Returned at standard size on the 20th.
Mistakes column	MIXED	Rule-breach honesty excellent; tagging convention needs tightening (see above).

The pattern in this table is the report in miniature. Every exit-side rule passed, several of them under real pressure. Every breach was on the entry or sizing side. That is a much better problem to have than the reverse, and it is a change from the first half of this year — but it is where the next improvement has to come from.

LESSONS LEARNED

WHAT WORKED

- ✓ The bounce-exit on 227. Two minutes, no hesitation, \$6,600 saved against expiry at full width. The same failure that cost \$138,750 in April cost \$3,000 in August.
- ✓ The recovery: 19th skipped, 20th traded at standard size and structure. The win/wipeout/tinker cycle did not engage.
- ✓ Selectivity: 4 of 9 sessions. The 24th deliberately skipped on Iran sanctions and tariff worries.
- ✓ Trade 230 handled well once it happened — scratched flat within 10 minutes to restore standard size, rather than rationalising the extra lots.
- ✓ The clean system had no losing trade across a regime turn, a three-day selloff and two-decade-high yields.
- ✓ Journal honesty on 227 and 233 is the reason this analysis is possible. Recording “knew it then, knew it after, did it anyway” is worth more than any winning trade in the log.

WHAT NEEDS ATTENTION

- **1. Link the staged entry orders.** Second occurrence, ten days apart, ~38% of net liq both times. R25 is drafted and unadopted. This is the shortest path from diagnosis to fix in the whole framework.
- **2. Write a rule for the empty-setup state.** The framework governs what you may enter and how you must exit, but says nothing about a live session with a flat book and no qualifying setup — the exact state that produced trade 227. Something as simple as “no valid ODTE setup means no trade today; the next expiry is not a substitute” would have closed it.
- **3. Define the rare-day condition on the calendar, and give G2 a trigger.** “Resolved catalyst behind, unresolved binary ahead, tape aligned” produced the best premium of the fortnight and is visible in advance. Sizing up should be authorised by that condition rather than arriving via incremental adds — the 27th reached 7 contracts against a 6 maximum that way.

- **4. Fix the Mistakes tagging convention.** “NONE — rule breach” breaks the clean/error segmentation that the whole journal analysis rests on.
- **5. Reversal entries at 50% size until 10 instances.** R13 applies. Keep the n=2 caveat attached and accumulate before treating it as an edge.
- **6. Seventeen consecutive bull put spreads.** The book has been implicitly long the market for 31 days, and the fortnight's only large loss came from a downside gap. Not a rule breach — the tape has offered one direction — but worth noticing that the concentration and the loss found each other.

CONCLUSION

–\$1,805 gross, –\$1,946 net, cumulative +\$2,145 across 78 trades. The clean system was +\$1,195 with no losing trade.

One decision, taken against a rule already written and acknowledged as a breach at the time, accounts for the entire drawdown and rather more than it.

The fortnight has one cause. Trade 227 was wanting a trade when none was on offer. Trade 230 was wanting more routes into a trade than the plan required. Trade 233 was wanting the next trade more than this one's exit plan. Three different-looking events, one impulse. Naming it as a single thing is more useful than treating them as three unrelated slips, because it points at one fix rather than three.

And the thing that has genuinely changed. In April, this exact failure — a position gapped through with no stop able to fire — cost \$138,750 because nothing happened next. In August it cost \$3,000 because the bounce came, you took it in two minutes, and the spread never traded there again. The freeze response, which was the single most expensive pattern in this entire journal, did not fire. It has now not fired three reporting periods in a row, twice under genuine pressure. Whatever else this fortnight was, that is not a small thing.

The exit machinery is built and tested. The entry gate is where the remaining work is — specifically, the empty-setup state and the order plumbing. Both are small, concrete, and fixable before the next session.

Next Report: Friday, September 4, 2026